

Done!

Cambridge
International
AS & A Level

Cambridge International Examinations
Cambridge International Advanced Subsidiary and Advanced Level

ECONOMICS

Paper 1 Multiple Choice

9708/12**May/June 2018****1 hour**

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO NOT WRITE IN ANY BARCODES.There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.**Read the instructions on the Answer Sheet very carefully.**

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Zarakh Mushtaq
Solved with reasons!

This document consists of **13** printed pages and **3** blank pages.

* Normative economics is a part of economics that expresses value or normative judgments about economic fairness or what the outcome of the economy or goals of public policy ought to be. Economists commonly prefer to distinguish normative economics from positive economics.

2

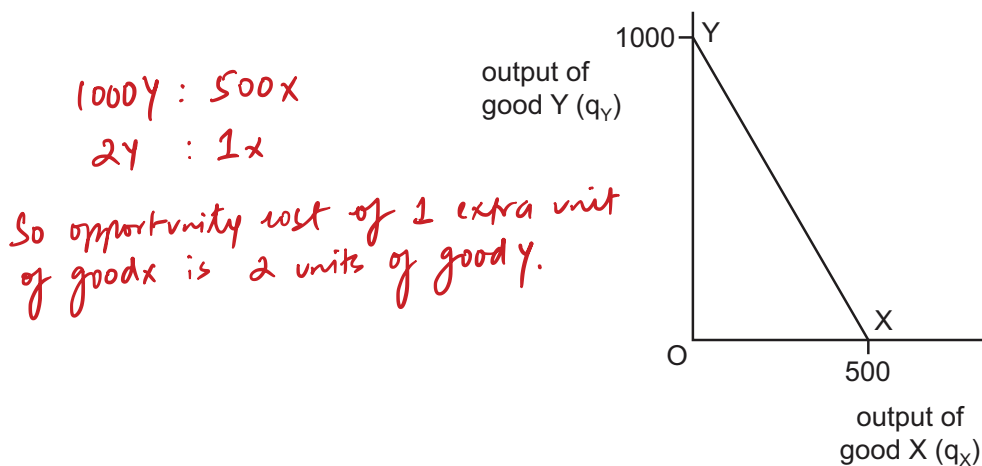
- 1 The statements refer to the proposal to build another runway at London's Heathrow airport.

Which statement is normative? → *opinions (Read *)*

- A Heathrow is the UK's busiest airport and has more flights than any other European airport.
 B The airport is highly competitive but there is spare capacity.
 C The potential net benefit of expansion is around £5 billion over 70 years.
 ✓ ~~D~~ We ^{*opinion*} should concentrate on improving the use of existing capacity not build another runway.

- 2 YX is an economy's production possibility curve (PPC).

The equation of the curve is $q_Y = 1000 - 2q_X$. ⇒ 'waste of time' (Always read the Question carefully)



Ratio

What is the opportunity cost of producing one extra unit of good X?

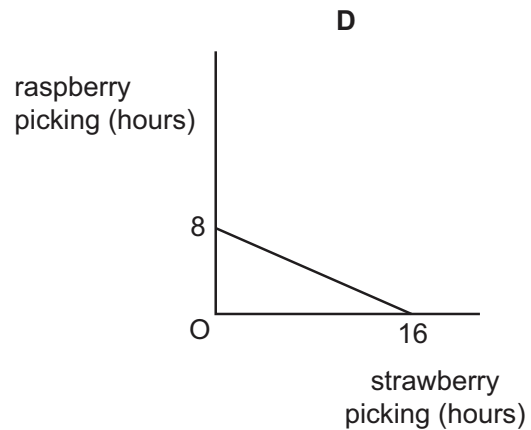
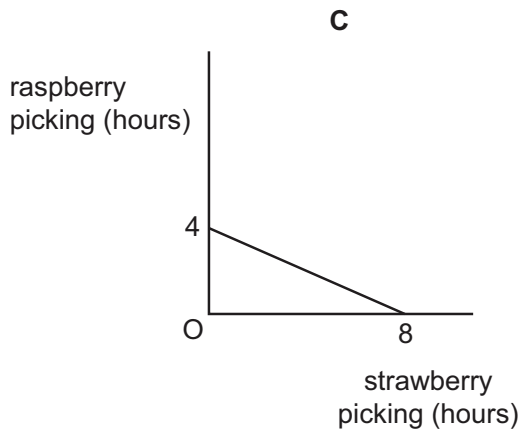
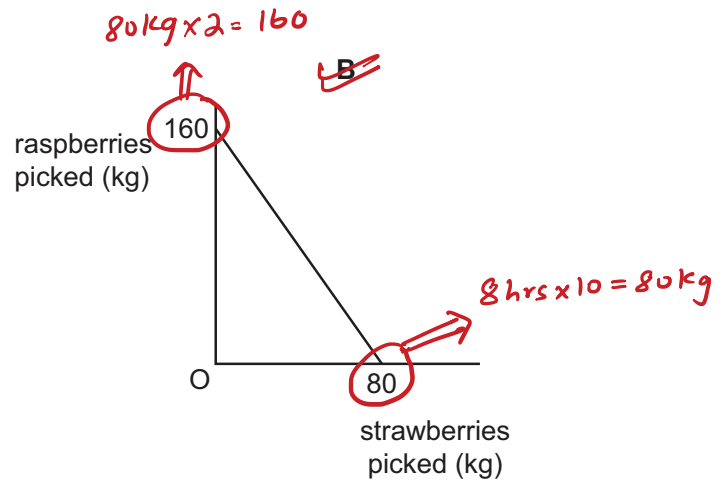
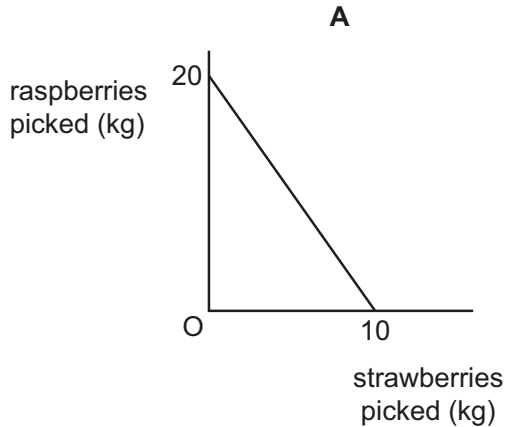
- A $\frac{1}{2}$ unit of good Y
 ✓ ~~B~~ 2 units of good Y
 C 500 units of good Y
 D 1000 units of good Y

1 hr $\Rightarrow$ 10kg strawberries
 8 hr $\Rightarrow$ 80kg strawberries $\times 2 \Rightarrow$ 160kg of raspberries

3

- 3 A farmer picks 10kg of strawberries in each hour. The farmer is twice as productive at picking raspberries.

Which diagram shows the farmer's daily production possibility curve when working 8 hours a day?



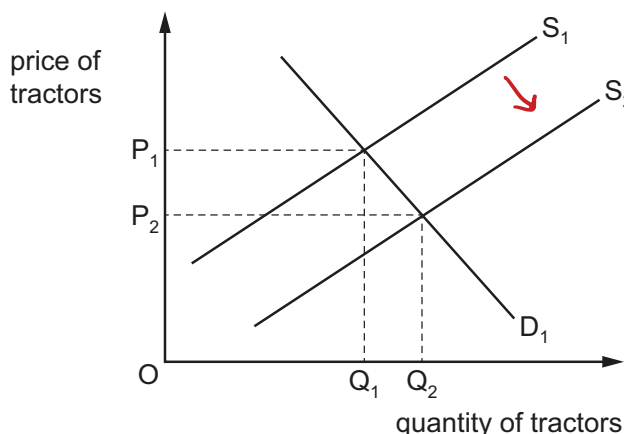
- 4 Governments provide public goods. (Non-rival, non excludable and non-rejectable)

What is an example of a public good? $\rightarrow$ No price attached to it, free rider problem

- ☒ A the services provided by a defence force
- ☐ B the services provided by a hospital (also by private)
- ☐ C the services provided by a leisure centre (private)
- ☐ D the services provided by a toll road (charges)

4

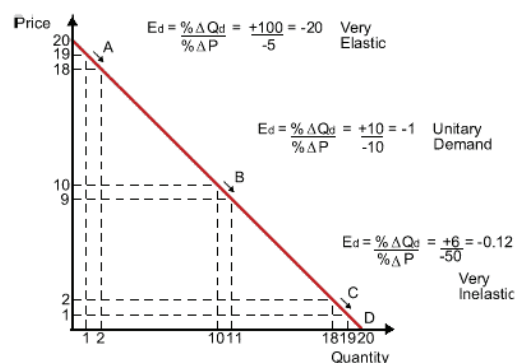
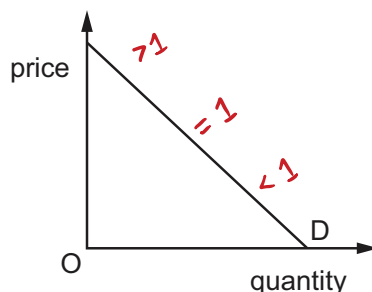
- 5 India is one of the largest producers of tractors in the world. S_1 and D_1 are the original supply and demand curves for Indian tractors.



What would cause the supply curve to move to S_2 ?

- A a rise in the incomes of Indian farmers *Demand factor*
 B a rise in the price of electricity paid by Indian tractor manufacturers *Elasticity, changes slope*
 C a rise in the price of tractors produced in the US *Movement*
☒ D a rise in the productivity of workers in Indian tractor factories *(Efficiency ↑, cost ↓)*
- Not shift ↑*

- 6 The diagram shows the demand curve for a product.



Which statement is correct?

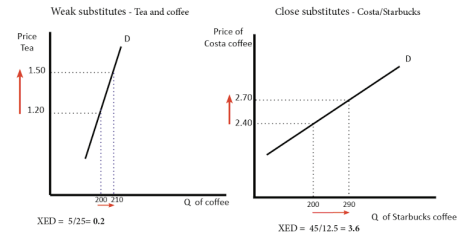
- A Consumer expenditure on the product always rises when price falls. *(Not in case of inelastic)*
 B Demand is less elastic at higher prices than at lower prices. *(Reverse this statement)*
☒ C Price elasticity of demand differs at every price. *Prices ↓ Q ↑ or TR ↓ or TE ↓*
 D Price elasticity of demand equals one at every price. *Only in case of unitary, rectangular hyperbola*

XED , measures the responsiveness to the percentage change in quantity demanded for good y to the percentage change in price of good x .

$$XED = \frac{\% \Delta \text{ in } Q_{DX}}{\% \Delta \text{ in price } y} \Rightarrow +ve, -ve$$

- 7 The cross-elasticity of demand between two goods will be higher

- A the greater the difference in price between the two goods.
 B the greater the income elasticities of demand for the two goods.
 C the greater the price elasticities of demand for the two goods.
~~D~~ the more they are regarded as similar by consumers.



- 8 The price elasticity of supply of a good is $+2$. The quantity supplied originally was 200 units.

$$\frac{\text{New} - \text{old}}{\text{old}} \times 100$$

The price increases by 30%.

$$PES = \frac{\% \Delta \text{ in } Q_S}{\% \Delta \text{ in price}}$$

$$+2 = \frac{x - 200}{200} \times 100 \Rightarrow 320 \text{ units}$$

30%

What will the quantity supplied be after the price increase?

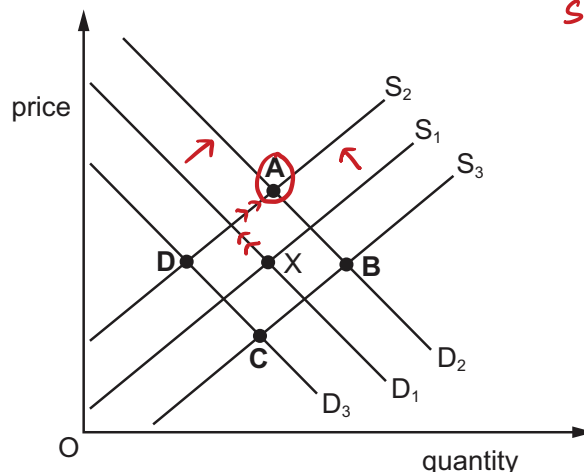
- A 80 units B 140 units C 260 units ~~D~~ 320 units

- 9 The diagram shows S_1 and D_1 , the original supply and demand curves for fast food in an economy. Point X is the original equilibrium. Fast food is an inferior good. $YED = -ve$

What would be the new equilibrium position following a tax imposed on fast food and a fall in real income?

Indirect tax
 $S \downarrow$

$Y \downarrow \Rightarrow D \uparrow$



Alternative to price mechanism

- 10 When will the price mechanism not function as a system for allocating goods?

Demand shifts

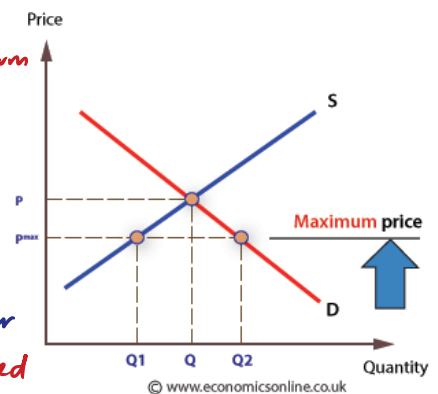
- A when the government bans advertising
~~B~~ when the government maintains an effective maximum price
 C when there is a limited supply of the good
 D when there is a powerful company able to set the market price

Still demand and price can change

Price maker

Note:- Price mechanism is where prices are determined by the forces of demand and supply where prices provide signal to the producer to allocate resources in profit maximizing manner

Note:- Maximum price is a price control, ceiling, which is imposed below the equilibrium which restrict it to reach back to equilibrium.

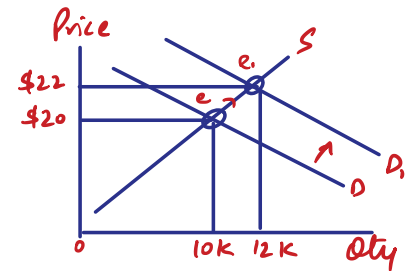


Qty traded ↑ at higher price $\Rightarrow$ Demand ↑

- 11 During a certain period, 10000 units of a normal good are sold at a price of US\$20. During a later period, 12000 units are sold at a price of US\$22.

What could explain this change?

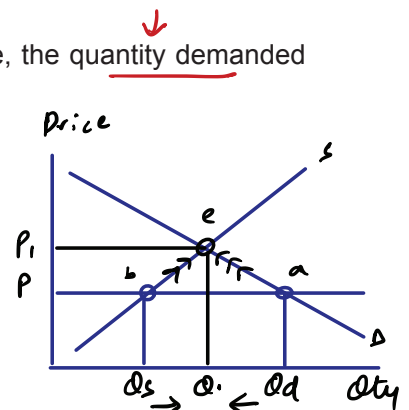
- A an increase in indirect taxation *Supply shifts*
 B an increase in the cost of raw materials *Supply shifts*
☒ C an increase in the price of a substitute commodity *Demand ↑*
 D an increase in the productivity of factors of production *Supply shifts*



- 12 A free market is in disequilibrium with a shortage of a product. *Below the equilibrium*

As the market moves towards equilibrium, what will happen to the price, the quantity demanded and the quantity supplied? *↑* *↓*

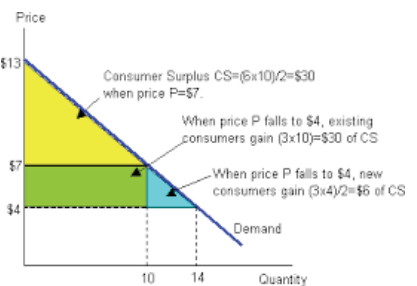
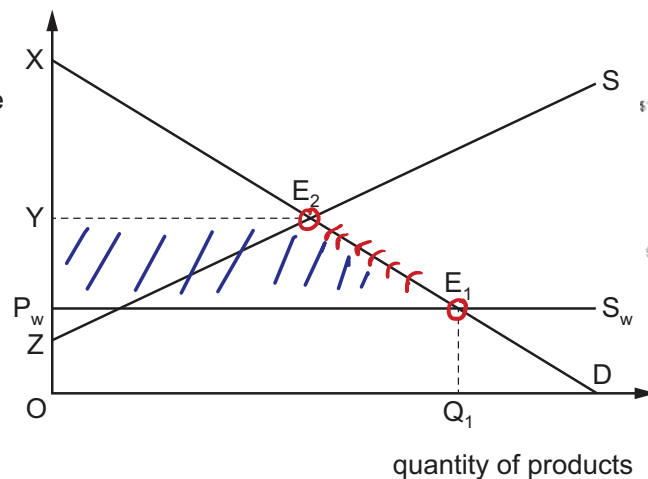
	price	quantity demanded	quantity supplied
A	decrease	decrease ✓	increase ✓
B	decrease	increase	decrease
☒ C	increase ✓	decrease ✓	increase ✓
D	increase ✓	increase	decrease



- 13 In the diagram, D and S represent the domestic demand and supply curves for a product. Sw represents world supply of the product at a world price of Pw. The initial domestic market equilibrium of the product is at E1. *World supply diagram*

If foreign trade were to be banned completely, the domestic market equilibrium would be at E2.

Note:- consumer surplus is the difference between the amount you are willing to pay to and the amount you actually pay.
 At 'E1': $C.S = P_w \times E_1$
 At 'E2': $C.S = Y \times E_2$
 Loss in C.S :- $P_w Y E_2 E_1$



What would be the loss of consumer surplus if all foreign trade were banned?

- A $P_w X E_1$ ☒ B $P_w Y E_2 E_1$ C $Y X E_2$ D $Z Y E_2$

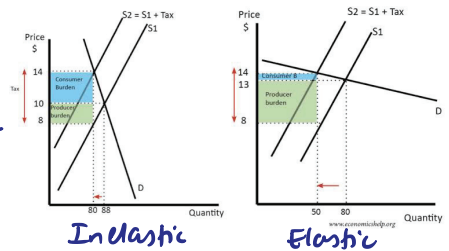
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indirect taxElastic demand

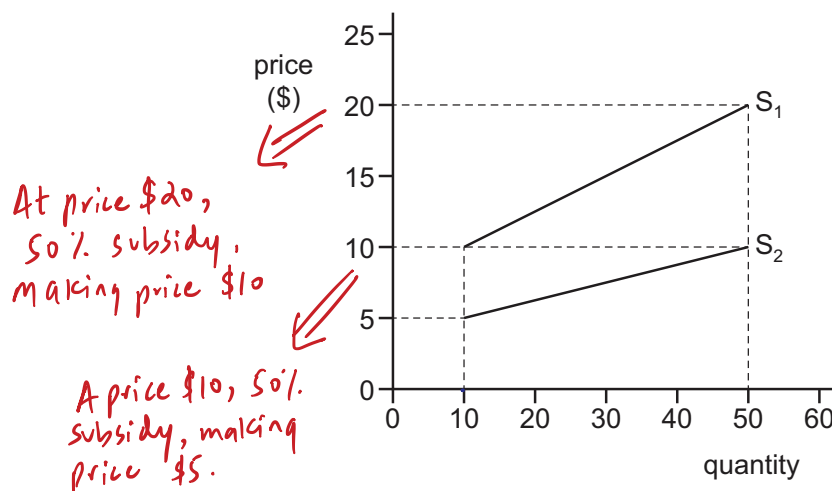
- 14 A government wishes to impose a tax on a good so that the producer and not the consumer pays most of the tax.

Which type of elasticity would it be best for the good to have to achieve this aim?

- ☒ A high price elasticity of demand Elastic demand
 B low price elasticity of demand inelastic demand (C.B > P.B)
 C totally inelastic price elasticity of demand Perfectly inelastic demand (only consumer) Burden
 D unitary price elasticity of demand (TR/TE = unchanged)



- 15 The diagram shows the effect on the supply curve of a product when the government provides a subsidy.



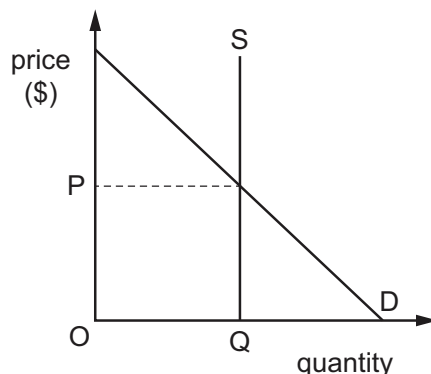
What can be concluded about the nature of the subsidy as the quantity supplied increases?

- A It is a falling percentage (%) of the price of each unit.
☒ B It is a fixed percentage (%) of the price of each unit. [50%]
 C It is a fixed sum on each unit.
 D It is a rising percentage (%) of the price of each unit.

- 16 What is **not** an example of a transfer payment? A payment made or income received in which no goods or services are being paid for, such as a benefit payment or subsidy.

- A pocket money from parents No service in return
 B private donations to charities No service in return
☒ C salary paid to a teacher in a government school → service given in return of salary
 D unemployment benefit No service in return

- 17 In 2016–2017 a government spent \$135 billion on the health service. The diagram shows the provision of healthcare in that country.



Concept of Rationing :-

* Rationing is the controlled distribution of scarce resources, goods, services, or an artificial restriction of demand. Rationing controls the size of the ration, which is one's allowed portion of the resources being distributed on a particular day or at a particular time.

What can we deduce about healthcare provision in the country if it were provided at zero price?

- A At price P the benefits to society are maximised. *(No, its price mechanism)*
- B It is non-rival in consumption. *(It's fix in supply, so consumption by one will reduce for other)*
- C It is unlimited in supply due to government funding. *(fixed supply)*
- ☒ D It will need rationing as it will be overconsumed. *(At zero price, Demand will be high)*

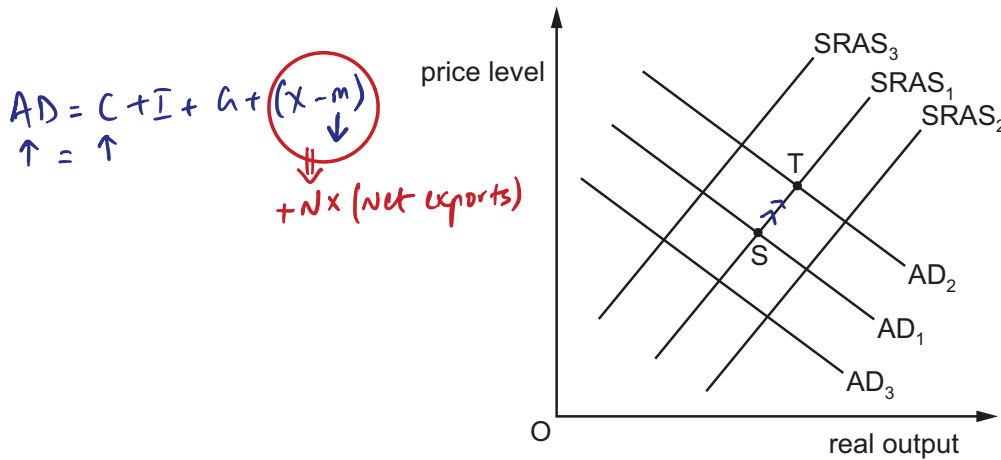
- 18 A government privatises the telecommunications industry.

What is least likely to increase?

- A choice of telecommunications services for consumers $\Rightarrow$ *Higher output, Economies of scale*
- B development of new telecommunications products $\Rightarrow$ *'A' and 'B' are related with choices*
- ☒ C employment in the telecommunications industry
- D productivity in the supply of telecommunications $\Rightarrow$ *capital intensive*

With the objective of profit maximization, more capital intensive technique will be used which will increase unemployment

- 19 The diagram shows short-run aggregate supply and demand in an economy, where the initial equilibrium is at S.



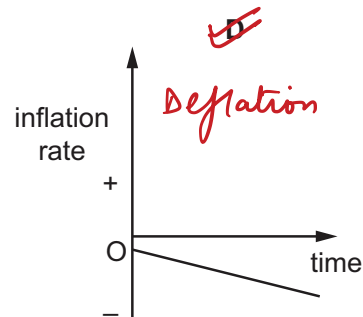
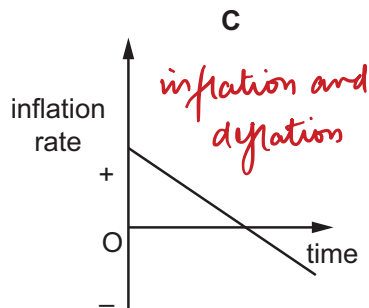
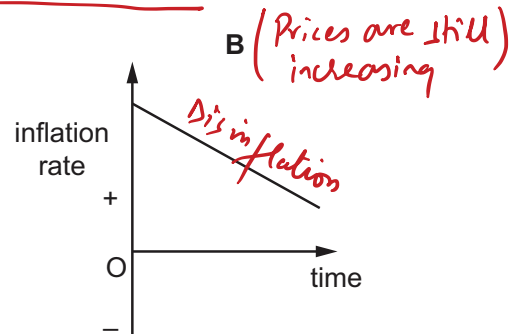
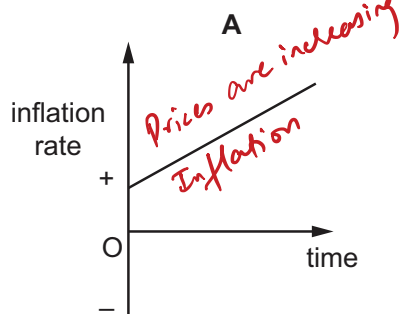
What is most likely to cause a movement from S to T? $(AD \uparrow)$

- $C \uparrow (AD \uparrow)$ $SRAS \uparrow$
- ☒ A an increase in consumer expenditure and an increase in productivity
- ☒ B an increase in consumer expenditure and a reduction in imports $M(TE) \downarrow \Rightarrow AD \uparrow$
- ☒ C an increase in education and training and an increase in income tax $C \downarrow$
- ☒ D an increase in the exchange rate and a reduction in corporation tax $I \uparrow \Rightarrow AD \uparrow$
- Handwritten notes for options:
- For B: $C \uparrow (AD \uparrow)$
 - For C: $SRAS \uparrow$
 - For D: $Appreciation, BOT deficit, AD \downarrow$

- 20 The diagrams show the inflation rate over time in four countries.

Which country experiences a falling cost of living throughout the period?

Deflation /
negative
inflation



Persistent and sustained fall in general price level, over a given period of time.

$$* \text{ Disposable income} = \text{Income} - \text{Tax}$$

$$\text{Disposable income} * \text{ Real income} = \text{Nominal income} - \text{Inflation}$$

- 21 A government statistical office measured changes in income from employment, pensions and benefits, then subtracted income tax and welfare contributions and adjusted for inflation.

What did the final figure represent?

A changes in nominal income (only current)

B changes in nominal net earnings (only current)

☒ C changes in real disposable income

D changes in real gross earnings (income before tax and deductions)

* Real . Disposable . income
(inflation adjusted) (Tax deducted)

→ Real income

- 22 The table shows all of the items on the current account of a country's balance of payments.

	\$ million
exports of goods	143
imports of goods	(156)
exports of services	75
imports of services	(72)
net transfers	+5

-5

What is the value of the current account balance?

- ☒ A \$5 m deficit
- B \$10 m deficit
- C \$13 m deficit
- D \$3 m surplus

[Both raised 'r']

- 23 Following a long period of depreciation of the US\$, both the US and UK monetary authorities raised their domestic interest rate.

What will happen to the value of the exchange rate of the US\$ in terms of UK£?

- A It will fall.
- B It will remain unchanged.
- C It will rise.
- ☒ D The outcome is uncertain. (It can rise or fall)

* Interest rate and exchange rate have a positive relationship
 * $r \uparrow$, $D\$ \uparrow$ and $S\$ \downarrow$, Exchange rate appreciates
 * But both have raised 'r', parallel reaction (or retaliation), outcome is uncertain

- 24 Country P exports goods and imports goods.

Export prices and import prices are set to an index of 100 in year 1. The table shows corresponding prices indices for years 2 and 3.

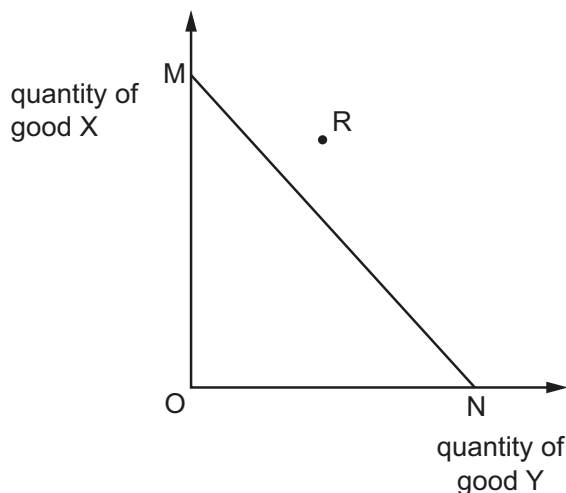
$$TOT = \frac{X \text{ prices}}{M \text{ prices}} \times 100$$

	year 2	year 3	year 1
export price index	120	132	
import price index	110	121	
TOT	109.1	109.1	100

Which statement is correct?

- A It is not possible to say how the terms of trade changed without further information. *It is*
- B The terms of trade improved between years 1 and 2, and improved again between years 2 and 3. *No*
- ☒ C The terms of trade improved between years 1 and 2, and then remained unchanged between years 2 and 3. *100 to 109.1* *109.1 to 109.1*
- D The terms of trade worsened throughout the whole period. *No*

- 25 In the diagram, MN is the production possibility curve of a country that has a comparative advantage in the production of good Y.



What might enable the country to consume the quantities of X and Y indicated by point R?

- A a reduction in unemployment *(Actual moves closer to potential) (Not reaching to 'R')*
- B increased specialisation in the production of good X *(won't achieve 'R', all of good X)*
- C increased specialisation in the production of good Y *(or all of good Y will be produced)*
- ☒ D more participation in international trade

* Remember, attaining the unattainable point in the short run, by involving in international trade, through volume of imports and in short run, there will be existence of trade deficit. Even without shifting the PPC, unattainable point can be attained in short run.

A customs union is generally defined as a type of trade bloc which is composed of a free trade area with a common external tariff. Customs unions are established through trade pacts where the participant countries set up common external trade policy (in some cases they use different import quotas).

A free-trade area is the region encompassing a trade bloc whose member countries have signed a free trade agreement. Such agreements involve cooperation between at least two countries to reduce trade barriers – import quotas and tariffs – and to increase trade of goods and services with each other.

12

26 What is the difference between a customs union and a free trade area? (Economic integration)

- ☒ A Only the customs union has a common external tariff with the rest of the world. *Read notes Booklet!*
- ☐ B Only the customs union requires fixed exchange rates between member countries.
- ☐ C Only the free trade area needs to eliminate tariffs between member countries.
- ☐ D Only the free trade area requires freedom of movement for labour and capital between member countries.

27 Which statement about trade protection is correct?

- ☐ A A tariff will result in a greater decrease in demand for an import the lower its price elasticity of demand is. (No) *inelastic*
- ☐ B Embargoes are only an effective trade barrier against imports in price-elastic demand. (No) *It's a Ban*
- ☐ C Export subsidies to domestic firms will prevent the dumping of foreign products in the domestic market. (No) *(It's the other way round)*
- ☒ D Quotas are less effective than tariffs for raising government revenue. *(yes, Quota restricts Qty, doesn't raise revenue)*

28 What is an example of expansionary monetary policy?

- ☒ A the central bank buying government bonds in the money market *MS ↑, R ↓, Exchange rate ↓*
- ☐ B the central bank causing an appreciation of the country's foreign exchange rate *MS ↓*
- ☐ C the central bank increasing controls on credit lending *(restrictions)*
- ☐ D the central bank increasing the minimum lending rate of interest *R ↑*

29 China had a US\$155 billion current account surplus in 2012.

Which combination of policies might the Chinese Government use to reduce the surplus?

- ☒ A decrease income tax and raise the value of the Chinese currency, the Yuan $\Rightarrow$ *BoT deficit*
- ☐ B increase income tax and lower the value of the Chinese currency, the Yuan $\Rightarrow$ *BoT surplus*
- ☐ C increase subsidies to Chinese firms and reduce income tax $\Rightarrow$ *uncertain*
- ☐ D increase tariffs on imports and increase income tax $\Rightarrow$ *BoT surplus*

(A) Income tax ↓
 Disposable income ↑
 consumption ↑
 Demand for imports ↑

Raise the value
 Appreciation
 $X_{prices} \uparrow, M_{prices} \downarrow$
 BoT :- deficit

Contractionary policy

30 In an economy, prices are rising. The government wishes to limit further increases in prices.

Which policies would it be likely to use?

- Supply ↑*
A decrease goods and services (sales) tax and put a quota on cheap imports *Prices ↑*
B decrease income tax and decrease interest rates *Depreciation, BOT surplus, AD ↑*
C increase interest rates and decrease government spending *S ↓, prices ↑*
D withdraw industry subsidies and impose a minimum wage *wage ↑, cost ↑, supply ↓, prices ↑*

